
Archer Daniels Midland: Navigating Market Shifts with a Focus on Food System Resilience

ADM faces a dynamic market landscape, presenting both challenges and opportunities to strengthen its commitment to sustainability and food waste reduction. While recent revenue declines signal a need for strategic adjustments, ADM's existing partnerships and core business position it to capitalize on emerging solutions for a more resilient food system.

Revenue Trends: A Call for Efficiency

ADM's revenue trajectory reveals a complex picture. While 2022 saw a significant peak at \$101.556B, subsequent years have shown a decline, with 2024 reporting \$85.53B and the most recent quarter (ending June 30, 2025) at \$21.166B, a 4.86% year-over-year decrease. This trend underscores the importance of optimizing operational efficiency and resource utilization, making food waste reduction a potentially high-impact area for improvement. The decline in crushing profit, down 93% to \$13 million due to factors including biofuel policy deferrals, further emphasizes the need for strategic resource management.

Sustainability Commitment: A Foundation for Growth

ADM recognizes the critical link between natural resource health and its future success. As stated in its 2024 Annual Report, the company is "committed to being a force for change in developing innovative, sustainable solutions in agriculture, food and nutrition, industrial and consumer products, energy, and footprint." This commitment provides a strong foundation for integrating food waste reduction strategies across its operations. ADM's ESG Score of 40 from S&P; Global, while industry-specific, indicates a baseline level of sustainability performance that can be further enhanced through targeted initiatives.

Partnership Ecosystem: Leveraging Collaboration for Impact

ADM's existing partnerships offer a valuable platform for advancing food waste reduction efforts. The company's long-standing collaboration with World Food Program USA since 2005 demonstrates a commitment to addressing food security challenges. Furthermore, ADM's participation in the U.S. Food Waste Pact, alongside organizations like ReFED and World Wildlife Fund, signals a willingness to collaborate on national waste reduction targets. Actively engaging in the U.S. Food Waste Pact can provide ADM with access to best practices, data-driven insights, and collaborative opportunities to accelerate its progress.

Untapped Potential: Opportunities for Leadership

While specific food waste reduction initiatives are not detailed in the provided research, ADM's vast operations – encompassing over 270 manufacturing facilities processing grain and oilseeds – present significant opportunities to identify and address waste hotspots across its supply chain. A comprehensive assessment of waste streams at these facilities, coupled with the implementation of targeted reduction strategies, could yield substantial environmental and economic benefits.

Supply Chain Opportunities: Where Food is Wasted

Given ADM's role in processing grain and oilseeds, potential areas for food waste reduction include:

- **Processing Losses:** Optimizing milling and refining processes to minimize product loss during manufacturing.
- **Byproduct Utilization:** Exploring innovative uses for byproducts and co-products, such as animal feed, bioenergy, or value-added ingredients.
- **Packaging Optimization:** Reducing packaging waste through sustainable materials and efficient design.
- **Distribution and Storage:** Implementing best practices for inventory management and temperature control to prevent spoilage.

Next Steps: A Roadmap for Collaboration

To further advance its food waste reduction efforts, ReFED recommends the following actions for ADM:

- **Conduct a comprehensive food waste assessment:** Identify and quantify waste streams across ADM's operations, from farm to consumer.
- **Develop a targeted food waste reduction strategy:** Set measurable goals and implement specific initiatives to address key waste hotspots.
- **Leverage ReFED's Insights Engine:** Utilize ReFED's data and resources to identify cost-effective solutions and best practices for food waste reduction.
- **Strengthen partnerships within the U.S. Food Waste Pact:** Actively participate in collaborative projects and share learnings with other Pact members.
- **Publicly communicate ADM's food waste reduction commitments and progress:** Enhance transparency and accountability by reporting on key metrics and achievements.

By embracing a data-driven, collaborative approach to food waste reduction, ADM can not only improve its operational efficiency and environmental performance but also strengthen its position as a leader in building a more sustainable and resilient food system.